

CS8803 Fall 2025

Acquisitions Project Final

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1 Introduction



Figure 1: Pets posing with a Chewy shipping box.

This paper examines the potential acquisition of Whisker by Chewy, Inc., arguing that the deal would strengthen Chewy's market position and enable

an expansion into automated pet care. Background on both companies is provided, the rationale for the acquisition is outlined, and feasibility is assessed across considerations such as financial, regulatory, logistical, and political. Key due diligence items are also examined to evaluate associated risks.

2 Company Backgrounds

2.1 Chewy

2.1.1 Company History

Chewy, founded in 2011 by Ryan Cohen and Michael Day, is an online pet supply store that sells pet products through its website and mobile app [1]. Previously acquired by PetSmart in 2017 for \$3.35 billion, the two companies split in 2020 [2].

2.1.2 Market

Chewy mainly serves U.S. pet owners, focusing on millennials and Gen X consumers who are active online shoppers and who prioritize spending on their pets' health and well-being [3]. As of August 2025, their market capitalization is \$16.6 billion [4].

2.1.3 Business Model

Chewy's business model centers on selling pet food, supplies, and health services through its e-commerce platform, with a strong focus on customer convenience and loyalty. A key driver of revenue is its Autoship subscription program, which accounts for the majority of sales by offering discounted, recurring deliveries and access to veterinary services [5].

2.1.4 Competitors

Chewy's top competitors [5] include the following:

- **Petco:** Operates over 1,500 stores across North America, combining retail sales with services like grooming, training, vet care, and insurance.

- **PetSmart:** One of the largest pet retailers in North America, offering extensive product lines alongside grooming, boarding, and training services.
- **Amazon:** Leverages its massive e-commerce reach to provide competitive pricing, automatic refills, and fast delivery of pet products, including its own private-label brands.

2.2 Whisker

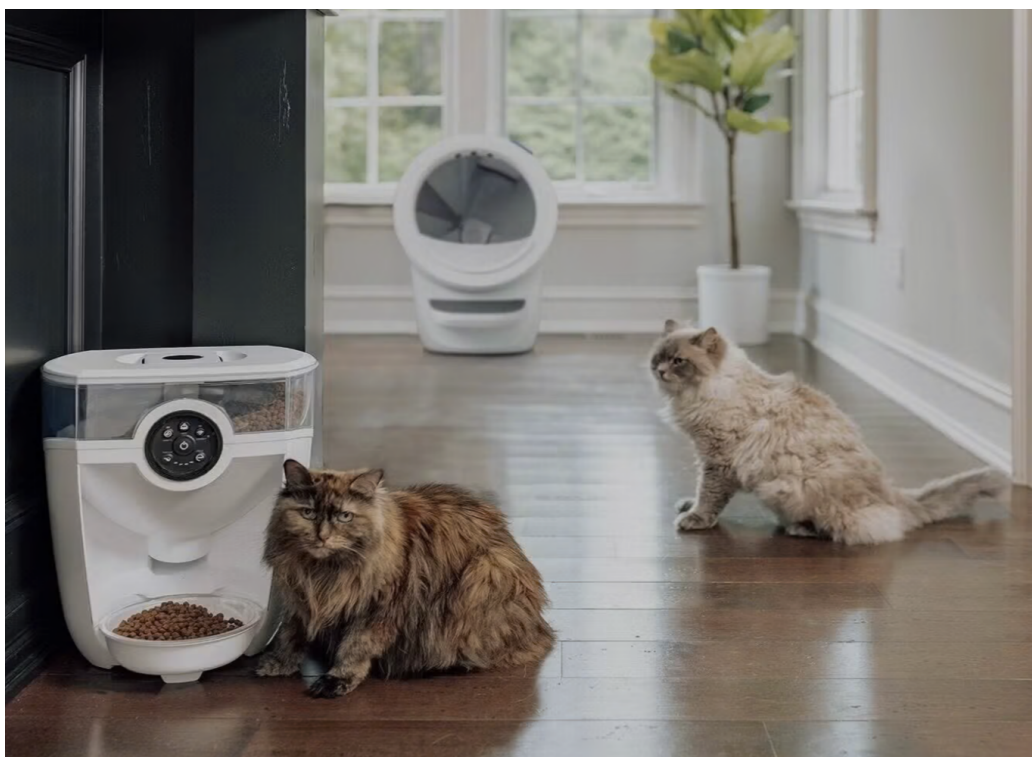


Figure 2: Whisker’s products include the Feeder-Robot (seen in the foreground) and the Litter-Robot (seen in the background).

2.2.1 Company History

Founded in 2000 by Brad Baxter, Whisker (then known as AutoPets) is a pet technology company best known for the Litter-Robot, a self-cleaning litter

box [6]. Their product line now also includes an automatic pet feeder called the Feeder-Robot and related accessories.

2.2.2 Market

Whisker’s customer base consists of cat owners who value convenience, pet well-being, and products that make caring for their cats easier and more enjoyable. As of August 2025, they have over 1.5 million customers across 27 countries [7].

2.2.3 Business Model

Whisker operates primarily as a direct-to-consumer brand, selling automatic litter boxes and related cat products online. Its business model focuses on combining product innovation and convenience to drive acquisition and long-term customer retention [7].

2.2.4 Current Challenges

Whisker’s current challenges include the following:

- **Continued growth:** Economic uncertainty and shifting consumer expectations are some of the biggest obstacles facing the company [8].
- **Marketing:** The company has faced challenges in aligning its software and marketing teams, resulting in insufficient use of mobile marketing tools such as push notifications and in-app deep linking [9].
- **Packaging and delivery:** The Litter-Robot’s original packaging caused shipping damage and made unboxing difficult [10]. This has since been improved upon but could potentially remain a pain point for them.

3 Acquisition Rationale

3.1 Why Not Internal Development or Contracting?

For Chewy to develop automated pet care products like the Litter-Robot internally would require significant work in hardware, engineering, and manufacturing. These are all outside of Chewy’s strengths (e.g., e-commerce,

logistics, customer service) [5]. Similarly, deciding to contract with other manufacturers would leave them dependent on outside expertise. By acquiring Whisker, Chewy is provided with an established brand, proven products, and technical knowledge that allows them to immediately enter the automated pet care market without much delay or investment outside of the capital required to acquire Whisker.

3.2 Potential Impact on Chewy’s Market Position

Whisker’s Litter-Robot and Feeder-Robot products complement Chewy’s existing offerings and could potentially create additional upsell opportunities, like packaging an Autoship subscription for litter and/or cat food. Acquiring Whisker would also expand Chewy’s product portfolio into the automated pet care market. Additionally, Chewy’s logistics network and marketing capabilities could help Whisker scale more efficiently, addressing their aforementioned current challenges.

3.3 Why Whisker Over Alternative Targets?

Other companies in the automated pet care space exist that could be targets for Chewy:

- **Petlibro:** Well known for their smart feeders and water fountains.
- **Neakasa:** Another company that produces automatic litter boxes.
- **PawSwing:** Makers of the Autocomb, an automated cat grooming machine.

Whisker stands out due to its proven innovation [6], established customer base [7], and strong brand recognition [11].

3.3.1 Innovation

Whisker has established itself as a leader in automated pet care through their innovative products. TIME magazine even recognized their Litter-Robot as one of the best inventions of 2024 [11]. Their focus on automation and smart technology has differentiated them from competitors, and their track record of strong iterative improvements on their designs shows that they’re capable

of furthering innovation in this space. By acquiring Whisker, Chewy gains the ability to well position itself for future advancements in pet technology.

3.3.2 Customer Base

Whisker’s customer base of over 1.5 million users [7] is predominantly tech-savvy and higher-income pet owners who are willing to invest in premium solutions for their pets. This complements Chewy’s broad online customer base, giving them opportunities for things like cross-selling subscriptions or products like litter. By acquiring Whisker, Chewy can strengthen its hold on its current customer base and potentially expand into the segment of pet owners who rely on smart home technology but purchase their other pet needs from Chewy’s competitors.

3.3.3 Brand Recognition

Whisker has built strong brand recognition through its flagship Litter-Robot, widely regarded as the leading automated litter box on the market [21]. This reputation for quality and innovation would enhance Chewy’s brand portfolio and strengthen its credibility in the pet technology space.

3.4 Long-Term Vision Post Acquisition

Through this acquisition, Chewy would reinforce their market position as the go-to provider for pet supplies and establish themselves as a leader in the automated pet device market. This would also reinforce brand loyalty and strengthen their competitive advantage against Petco, PetSmart, and Amazon.

4 Feasibility and Due Diligence

4.1 Economic Feasibility

As of April 2025, Chewy, Inc. has \$0.61 billion cash on hand, down from \$1.14 billion in April 2024 [12]. As of July 2024, Whisker appears to be valued at about \$1 billion [13]. Thus, Chewy alone doesn’t currently have enough money to purchase Whisker outright. However, they could finance the acquisition through other means, such as debt or equity financing [14].

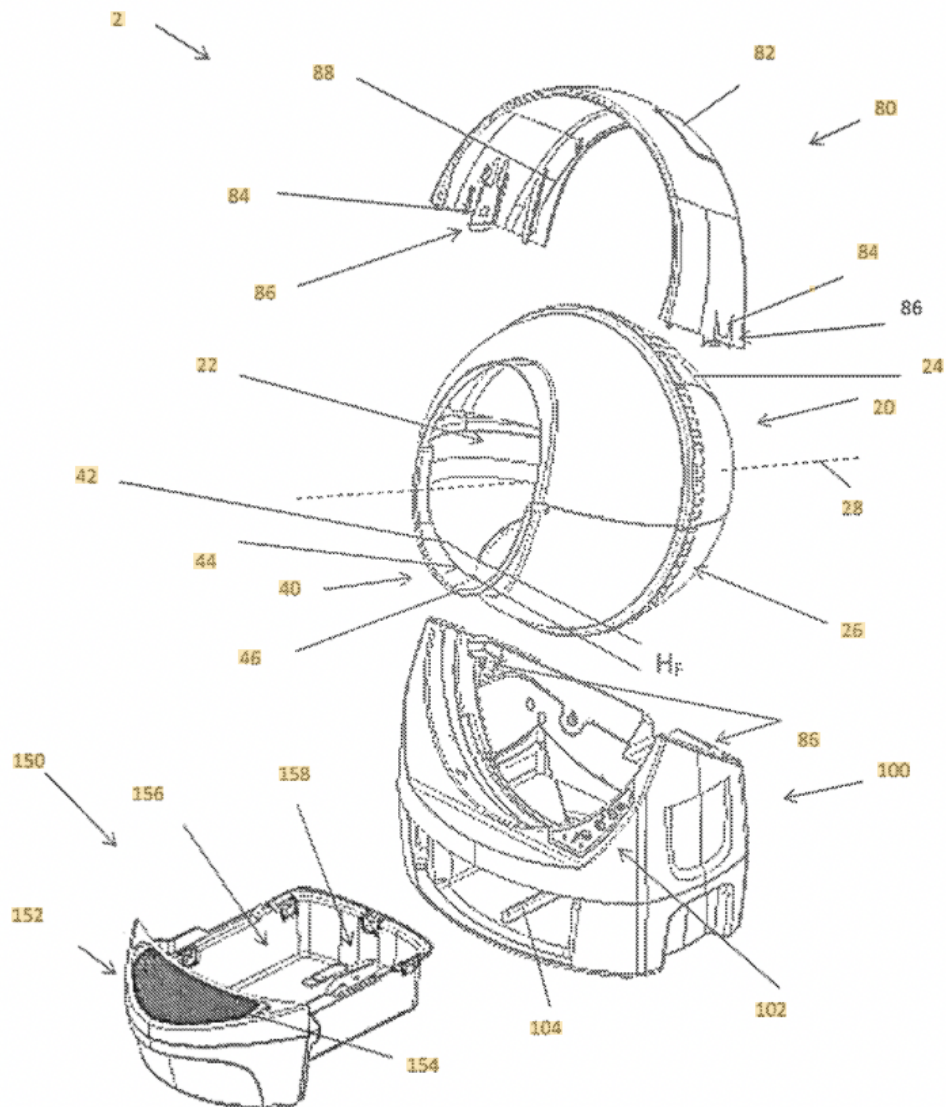


Figure 3: Image from Whisker's US patent 8757094B2 - Automated litter device and method.

4.2 Political Feasibility

Both companies are U.S.-based, which simplifies the political feasibility of the acquisition by avoiding international regulatory complexities. Neither company is involved in matters related to national security or critical infrastructure, which reduces the chance of political opposition. There also likely wouldn't be a politically significant amount of employed individual affected by the acquisition, with Chewy, Inc, at about 18,000 employees [17] and Whisker at about 650 [18].

4.3 Logistical Feasibility

A potential logistical challenge is that Chewy does not currently ship outside of the U.S. [16] They would need to leverage Whisker's existing relationships to fulfill Litter-Robot (and their other products') international orders. However, Chewy's extensive United States fulfillment and distribution network could help scale Whiskers' product presence stateside. Another challenge to consider would be a potential consolidation of support staff for both companies.

4.4 Regulatory Feasibility

"Transactions that significantly increase market concentration or eliminate key competitors are more likely to face regulatory scrutiny and possible intervention" [15], but this deal does neither. As Chewy operates primarily as an e-commerce retailer of pet products and services, while Whisker focuses on automated pet devices, the acquisition is unlikely to raise antitrust concerns since the two companies do not directly compete in the same market segment.

4.5 Comparable Recent Acquisitions

Chewy was actually acquired by PetSmart in 2017 in order for PetSmart to "benefit from Chewy's e-commerce expertise" [22]. They ended up splitting in 2020, as that acquisition was seen as a poor fit for the retailer. Some issues with the deal included a lack of integration between the two companies, 'dueling banners' of Chewy.com and PetSmart.com, and "the siphoning off of PetSmart brick-and-mortar sales by Chewy" [23].

Comparing this to the potential acquisition of Whisker, neither Chewy nor Whisker would be siphoning any in-person retail sales from the other as neither have physical stores. Additionally, having first-hand experience with the challenges two companies can experience when one acquires the other would likely prove beneficial for Chewy. They'll be more familiar with potential pitfalls and make a more concerted effort to integrate the two companies together.

4.6 Potential Legal Challenges

Intellectual property disputes over patents or trade secrets could come up. Whisker currently has 13 utility patents and 9 design patents in the US [24], and it's critical that clear ownership of these patents is established during the deal.

Another potential legal challenge is that because Whisker's devices are app-enabled and collect customer data, there could be issues with data privacy and consumer protection laws, especially if Whisker's policies differ from Chewy's. For example, Whisker's current privacy policy states that it does not sell personal information and provides opt-out/deletion rights to its users [25]. A potential audit of their systems may be needed to ensure that this is indeed the case.

Another point to keep in mind is that any existing or pending litigation against Whisker would transfer to Chewy, creating potential liability that would need to be thoroughly reviewed ahead of any acquisition.

4.7 Impact of Acquirer Size on Scrutiny

Chewy's current market capitalization of \$16.6 billion [4] is quite large for the pet retail industry [26], increasing the chances that any large acquisitions they pursue could draw regulatory scrutiny. However, the deal is unlikely to face antitrust challenges since Whisker operates in the automated pet device market, which is complementary rather than directly competitive with Chewy's e-commerce business and thus would not restrain trade or fair competition [27]. That being said, scrutiny will still likely come from analysts and shareholders considering the costs and benefits of such a deal. Chewy's recent decline in cash reserves [12] would also increase expectations for a return on investment.

4.8 Due Diligence

According to the CS8803 Due Diligence module [19], the following considerations should be taken into account when reviewing potential acquisitions:

- **Legal:** Compliance with state corporation requirements, securities laws, creditor laws, and verifying the accuracy and completeness of corporate documents.
- **Regulatory:** Assess ownership structures, data privacy and security practices, and adherence to environmental, health, and safety regulations.
- **Tax and Accounting:** Evaluate tax filings, tax obligations, and accounting practices.
- **Human Resources:** Examine labor and employment law compliance and employee benefits programs.
- **Property:** Review real estate holdings, personal property, and intellectual property rights.
- **Liabilities:** Investigate pending or potential litigation, antitrust concerns, broker agreements, and any criminal exposure.

For Chewy’s potential acquisition of Whisker, the most relevant due diligence items are reviewed in the sections below.

4.8.1 Legal Due Diligence

“Legal due diligence involves a comprehensive review of a target company’s business, legal, financial, operational, and other relevant details to evaluate its suitability for acquisition” [29]. Key steps include reviewing critical documents and carefully analyzing clauses for anti-assignment (which would prevent a party from transferring its rights without permission) and change of control provisions (could give a party certain rights if ownership changes).

4.8.2 Regulatory Due Diligence

Regulatory due diligence involves auditing a company, its projects, and employees to ensure compliance with applicable laws and regulations. It “seeks

to ensure that there are no regulatory inconsistencies within a target company” [30]. It requires examining areas such as antitrust approvals, past or pending investigations, compliance policies, employee procedures, and product regulations to identify potential risks. A review of data privacy and security practices should be emphasized given Whisker’s use of app-enabled devices (that is, “a product that can be controlled by, and/or send data to, a custom-developed mobile app” [20]).

4.8.3 Tax and Accounting Due Diligence

Tax due diligence is a comprehensive review of a target company’s tax obligations, structures, and potential liabilities. Its purpose is not to avoid taxes, but to identify where taxes arise, enabling informed decisions and minimizing risks such as penalties or reputational damage. Chewy would likely follow a checklist covering things like income tax returns, audits, accounting methods, foreign taxes, and employee classification [31].

4.8.4 Liabilities Due Diligence

Liabilities due diligence involves identifying and evaluating all obligations of the target company that could pose financial or legal risks to the acquirer. This includes reviewing pending or threatened litigation, regulatory compliance issues, contractual obligations, product/service liabilities, and employee-related claims. Conducting thorough liabilities due diligence helps ensure that no hidden legal or financial risks threaten the acquisition or create any surprises after the acquisition [32].

4.8.5 Recommended Steps to Take

Chewy should take the following steps when conducting their due diligence:

1. Consult with legal counsel on Whisker’s corporate documents, intellectual property, and any pending litigation.
2. Perform an audit on assets, revenue streams, and any outstanding debts.
3. Conduct a review of Whisker’s products and infrastructure to assess security risks.
4. Evaluate Whisker’s employee contracts and benefits.

4.9 Information Unavailable to the Public

Certain information about Whisker is not publicly available as they are a private company. Access to this information would be needed for Chewy to assess any risks associated with acquiring Whisker. The following are examples of such information, along with what issues might emerge from their findings.

- **Revenue breakdowns by product:** How much each product contributes to overall sales. Would likely show that most sales come from the Litter-Robot. If demand for that product declines, the acquisition of Whisker could turn out to be a poor one.
- **Profit margins:** Difference between revenue and costs. Could indicate a vulnerability to rising material or labor costs.
- **Outstanding debts:** Any money the company still owes to creditors/lenders. Might increase acquisition costs.
- **Customer retention rates:** Percentage of customers who continue buying over time. Could suggest customers do not remain loyal to Whisker's products.
- **Manufacturing costs:** Expenses tied to producing goods. High costs could limit scalability.
- **Dependencies on other companies:** Reliance on suppliers, partners, or distributors. A single supplier for certain parts could create supply chain risks.
- **Inventory:** The amount of product currently in stock. Low or excess inventory might be a sign of operational inefficiency.
- **Customer satisfaction metrics:** Measures of how happy customers are with Whisker's products and services. Could be a sign of potential reputational risk.
- **Employee retention rates:** Percentage of employees who stay at the company over time. May indicate management or cultural issues that would need to be resolved after the acquisition.

- **Pending litigation or undisclosed liabilities:** Legal disputes or hidden financial obligations. Could cause unforeseen legal or financial burdens.

While company logos, corporate registrations, and patents can all be found online, there are a number of other sources Whisker could use to try to track down some harder to find information. For example, websites like crunchbase.com and privco.com are online business information platforms that offer subscription based access to financial research on private companies [28].

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